May 15, 2026

Vanessa A. Countryman

Secretary

Securities and Exchange Commission

100 F Street NE

Washington, DC 20549-1090

Re: File No. S7-2026-15 — Semiannual Reporting

Dear Ms. Countryman:

We appreciate the opportunity to comment on the Securities and Exchange Commission's proposed rule regarding optional semiannual reporting for Exchange Act reporting companies. We write as finance and accounting researchers whose recent work examines the existence and magnitude of information externalities associated with quarterly earnings announcements. An executive summary of our comments is provided below for brevity.

Executive Summary

Our research demonstrates that while the correlations between announcing firms and their peers have declined, the absolute amount of information produced during quarterly earnings announcements has increased so significantly that ***net information spillovers to peer firms are 70–99% higher on earnings announcement dates*** *than on non-announcement dates. These findings suggest that quarterly disclosures function as a* ***"semi-public good"*** *whose market-wide benefits for price discovery and efficiency are not fully internalized by individual firms. Consequently, we encourage the Commission to consider that moving to an optional reporting regime may result in the* ***underproduction of socially valuable information*** *that is currently essential for capital market efficiency.*

The comments that follow speak to the Economic Analysis section of the SEC's release regarding the proposal to allow semiannual reporting. We specifically address the issue as to whether quarterly financial reporting generates information externalities that would potentially justify the ongoing mandatory disclosure of quarterly earnings. We understand that the existence of significant information externalities is central to any economic justification of reporting mandates that would move registrants away from making their own value-optimizing earnings reporting decisions (i.e., decisions that are strictly in the best interest of the firm and its own shareholders). To the extent that information spillovers exist and improve price discovery, comparability, capital allocation, and market efficiency beyond the reporting firm, moving to a voluntary disclosure regime may result in the underproduction of information that is valuable to all market participants.

The proposal appropriately recognizes that disclosure regulation may generate positive externalities for "investors, other issuers, and the economy (that should be considered)" (p. 77), while noting that empirical evidence on such market-wide effects remains limited. We are happy to report that our recent study speaks directly to this issue by providing robust evidence of the existence of significant information externalities stemming from quarterly earnings releases. We hope that the Commission will therefore find our work to be relevant to its ongoing deliberations about the proposed rule.

Our study entitled, "*Earnings Announcements and Information Transfer: A Reconciliation of the Literature*" (Cai, Demers, and Nguyen, 2026), examines whether quarterly earnings announcements generate economically meaningful information spillovers to peer firms and to financial markets more broadly.

We develop a general framework to separately quantify:

- The total *absolute* amount of information produced on earnings announcement dates; and
- The *proportion* of information released by announcing firms that is relevant to industry peer firms.

In our empirical analyses, we confirm that focal-peer return correlations decline significantly on earnings announcement dates, indicating that a smaller *fraction* of disclosed information is industry-relevant (i.e., consistent with recent evidence provided by Frankel, Godigbe, and Rabier, 2025). We also document that the *absolute amount* of information produced on earnings announcement dates increases dramatically, consistent with the findings of Beaver, McNichols, and Wang (2018, 2020). When these two effects are jointly considered through our framework, we show that **the *net* information spillover to peer firms on earnings announcement dates is both economically and statistically significant.**

Specifically, our evidence indicates that:

- Focal-peer correlations decline on average by approximately 27-39% on earnings announcement dates;
- Total information production on earnings announcement dates increases on average by roughly 193-200%; and

- **The combined effect results in a statistically and economically significant increase in net peer-relevant information spillovers**.

In our main specification, **we estimate that net information spillovers to peer firms are on average approximately 70-99% higher on earnings announcement dates than on non-announcement dates.**

Our results are highly robust across alternative industry classifications, return models, event windows, multiple cross-sectional specifications, and to using trading volume rather than returns as the measure of market activity.

We further document that these spillovers are particularly strong for industry leaders and for firms releasing positive news, indicating that both types of announcements carry relatively more systemic information that is relevant for the broader economy.

We believe these findings are directly relevant to several aspects of the Commission's economic analysis, as follows:

First, the evidence suggests that quarterly earnings announcements generate economically meaningful information externalities. Such spillovers are presumed to contribute to the informational richness and thus the efficiency of the capital markets as a whole, which is to say well beyond the announcing firm's own share price dynamics. .

Second, the findings support the Commission's recognition that disclosure choices made by individual firms may not internalize broader market-wide effects. Firms choosing a reduced reporting frequency may rationally focus on their private compliance and proprietary costs while underweighting the positive informational spillovers that their earnings announcements contribute to overall market efficiency.

Third, the evidence is consistent with the view that quarterly earnings disclosures are a "semi-public good." To the extent that information spillovers improve price discovery, comparability, capital allocation, and market efficiency beyond the focal issuer itself, moving to a voluntary disclosure regime may result in the underproduction of socially valuable information.

In summary, we believe the proposal understates the empirical evidence supporting the existence of meaningful, positive information externalities associated with quarterly earnings reporting.

Accordingly, we encourage the Commission to:

1. Incorporate our empirical evidence on information spillovers and disclosure externalities into its final economic analysis;

2. More fully consider the possibility that optional semiannual reporting could reduce socially valuable information production; and
3. Consider whether any transition toward reduced mandatory reporting frequency should be accompanied by additional analysis regarding its effects on market-wide liquidity, comparability, and price discovery.
4. Consider allowing optional semi-annual reporting only for smaller firms, given that the informational externalities from the earnings reports by these firm are significantly more modest compared to those of industry leaders, and recognizing that the cost of quarterly reporting is also likely to be more burdensome for smaller firms.

We appreciate the Commission's thoughtful engagement with these important issues and we would be pleased to discuss our research further if it would be helpful to the Commission's deliberations. In closing, we attach our full study for your reference.

Sincerely,

Jay Cai

Associate Professor of Finance

Lebow College of Business

Drexel University

Elizabeth Demers

Deloitte Professor of Accounting

School of Accounting and Finance

University of Waterloo

Tu Nguyen

Associate Professor of Finance

School of Accounting and Finance

University of Waterloo

Earnings Announcements and Information Transfer: A Reconciliation of the Literature

Jay Cai*, Elizabeth Demers**, and Tu Nguyen***

ABSTRACT

Extensive prior literature documents information spillovers from focal firms' earnings announcements to peer firms. A recent study by Frankel, Godigbe, and Rabier (2025) questions this inference by documenting reduced return correlations between announcing firms and their peers, raising significant doubt about the extent of information externality deriving from financial report releases, a surprising inference given that other studies document an increasing absolute amount of information production at earnings announcements (Beaver, McNichols, and Wang, 2018, 2020). We reconcile these seemingly contradictory perspectives by dichotomizing the peer response to focal firms' earnings announcements into a (declining) correlation with the focal firm combined with (increasing) absolute information production during the event window. We show that the *net* effect of these countervailing forces is an economically and statistically significant positive information spillover to peer firms. Our study clarifies the mechanism behind spillovers, confirms the information externality associated with earnings announcements, and resolves a key tension in the literature. Furthermore, our results offer robust evidence of the information externalities that are required to justify reporting mandates at a time when the SEC is revisiting the quarterly earnings reporting requirement.

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* Lebow College of Business, Drexel University, 3141 Chestnut Street, Philadelphia, PA 19104, US. Email: jc468@drexel.edu

** Corresponding author. School of Accounting and Finance, University of Waterloo, 200 University Ave W, Waterloo, ON N2L 3G1, Canada. Email: elizabeth.demers@uwaterloo.ca

*** School of Accounting and Finance, University of Waterloo, 200 University Ave W, Waterloo, ON N2L 3G1, Canada. Email: tu.nguyen@uwaterloo.ca

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Earnings Announcements and Information Transfer: A Reconciliation of the Literature

ABSTRACT

Extensive prior literature documents information spillovers from focal firms' earnings announcements to peer firms. A recent study by Frankel, Godigbe, and Rabier (2025) questions this inference by documenting reduced return correlations between announcing firms and their peers, raising significant doubt about the extent of information externality deriving from financial report releases, a surprising inference given that other studies document an increasing absolute amount of information production at earnings announcements (Beaver, McNichols, and Wang, 2018, 2020). We reconcile these seemingly contradictory perspectives by dichotomizing the peer response to focal firms' earnings announcements into a (declining) correlation with the focal firm combined with (increasing) absolute information production during the event window. We show that the *net* effect of these countervailing forces is an economically and statistically significant positive information spillover to peer firms. Our study clarifies the mechanism behind spillovers, confirms the information externality associated with earnings announcements, and resolves a key tension in the literature. Furthermore, our results offer robust evidence of the information externalities that are required to justify reporting mandates at a time when the SEC is revisiting the quarterly earnings reporting requirement.

1. *Introduction*

Beginning with Foster (1981), a large body of literature concludes that there are significant information spillovers from announcing firms at the time of earnings announcements (e.g., Clinch and Sinclair, 1987; Han and Wild 1990; Pandit, Wasley, and Zach, 2011; Ogneva, Xia, and Ye, 2021). The implication of these findings is that focal firm announcements convey information about shared economic fundamentals that investors extrapolate to other firms. A recent study by Frankel, Godigbe, and Rabier (2025) challenges this long-held view by documenting that return correlations between announcing firms and their industry peers *decline* on earnings announcement days (EADs). The authors interpret this pattern as evidence that a larger fraction of the information released on these days is firm-specific rather than industry-wide and conclude that earnings announcements may not be a significant information event for industry peers. Their conclusion is particularly surprising in light of recent evidence provided by Beaver, McNichols and Wang (2018, 2020) that EADs contain significantly *more* information (for announcing firms) than non-EADs, and that this is due to greater information bundling with earnings announcements in recent years. Resolving these seemingly contradictory views regarding the potential information externality associated with earnings releases is critical to the current SEC policy debate about whether to abolish quarterly earnings reporting requirements. Our study reconciles the results from the prior literature and robustly confirms the policy-relevant existence of information externalities on EADs.

We develop a general framework that dichotomizes the peer response on focal firms' EADs into two components, the peer firm's correlation with the focal firm and the absolute amount of information produced on the EAD. We first confirm the results of Frankel et al. (2025) that industry peer firm returns correlations are declining on EADs by documenting a decline of 43%-51% for the firms in our sample depending upon the specification. Consistent with Frankel et al. (2025), these results confirm that the fraction of industry-relevant information out of the total information produced on EADs is significantly lower than on non-EADs. In other words, the *relevance* of the signal is reduced on EADs. We also confirm the findings of Beaver et al. (2018) that the *absolute* amount of information released on the EAD is substantially larger, increasing to nearly three times the amount of information on non-EADs, for the focal firms in our sample. Combining the effects of these two countervailing forces (i.e., a lower relevance but higher quantity signal), we provide robust evidence that there are economically and statistically significant *net* information spillovers to peer firms on focal firm EADs. That is, while a smaller fraction of information released on focal firm EADs is relevant for peers, the greater total amount of information released leads to 36-56% higher *net* peer-relevant information. Our results and conclusion that there is a net spillover effect are robust to alternatively using volume rather than returns as the measure of market activity. In addition to reconciling seemingly diverse views in the literature, our findings are practically important as well as timely because the SEC is preparing a new proposal to remove the 50-year quarterly earnings reporting mandate for U.S.-listed firms (Driebusch 2026), allowing companies to report semi-annually. Responding to the call of Leuz and Wysocki (2016) for academics to provide evidence of market-driven externalities to economically justify reporting mandates, our study provides evidence of economically and statistically significant information externalities that may be reduced under the proposed change to semi-annual reporting.[1]

[1] Our study is different from, but complementary to, Arif and De George (2020). They show that lower reporting frequency leads to heightened sensitivity and overreaction to bellwether peer announcements, concluding that lower reporting frequency adversely affects the quality of financial markets. We reconcile seemingly contrasting views in the literature about whether focal firm earnings announcements contain peer relevant information, concluding that despite significantly declining focal-peer firm correlations on EADs, the *net* information spillover to peers is economically and statistically significant because of the substantial increase in total information production on EADs. In other words, we confirm the existence of information externalities resulting from earnings releases, externalities that would potentially be reduced with a move to a voluntary quarterly reporting regime.

We perform several tests to confirm the robustness of our findings. First, we utilize alternative industry classifications to define focal and peer firms, including the text-based industry classification (TNIC3) (Hoberg and Phillips 2010, 2016), NAICS, GICS, and three-digit SIC codes. Second, we employ alternative estimates of the decline in focal-peer correlation on EADs, incorporating coefficient estimates from Frankel et al. (2025) as well as those derived from our own regressions using several alternative specifications. Third, we use the median absolute idiosyncratic return, rather than the average, to measure the increase in information production on earnings announcement dates. Finally, we repeat our analysis using a three-day window [-1, +1] instead of a one-day window centered on the earnings announcement day. Our findings remain robust across all alternative specifications.

To provide a comprehensive view of the mechanisms affecting information spillover, we perform several cross-sectional analyses. First, we find that the nature of the earnings news is an important determinant of the extent of spillover, with "good news" (positive idiosyncratic returns) generating higher net information spillovers than "bad news." Consistent with Baginski (1987), this evidence suggests that positive shocks serve as systemic signals while negative shocks are more likely to be idiosyncratic. Second, we examine industry leadership and find that when the focal firm holds a dominant market position, defined as a market share exceeding 20%, net spillovers are significantly higher. This reinforces the role of leaders as "bellwethers" whose production functions serve as a macro proxy for the sector (Foster, 1981; Hou, 2007; Ogneva et al., 2021). Finally, we demonstrate that the magnitude of the earnings surprise matters; while large absolute surprises increase information production, they simultaneously cause a decoupling in return correlations, resulting in lower net spillovers. This implies that extreme surprises are generally perceived as firm-specific information rather than an industry trend. Overall, the cross-sectional results indicate that information spillovers are not uniform, and that the information externalities associated with earnings announcements are dependent upon the source and content of the news.

Our paper offers several important contributions. First, we provide a general framework that can be used in other research contexts to separately examine the impact of declining correlations between focal and peer firms and increased total information production on announcement days. Second, we use this framework to provide a unified interpretation of two seemingly incongruous empirical patterns documented in prior studies related to the potential for information spillover on EADs. Specifically, we confirm both a significant increase in *total* information production at the EAD (Beaver et al., 2018, 2020) and a significant reduction in the *proportion* of information that is industry-relevant on EADs (Frankel et al., 2025), and we show that the combined effect of these offsetting forces is a significant *net increase* in information spillover to industry peers on EADs. Our results thus reaffirm the inferences in the long-standing prior literature (e.g., Foster 2018; Clinch and Sinclair, 1987; Han and Wild 1990; Pandit et al., 2011; Ogneva et al., 2021) and confirm the existence of material information externalities at the release of earnings announcements. Finally, our robust evidence of information spillovers at quarterly EADs informs the ongoing policy debate over the SEC's pending proposal to abandon the very long-standing quarterly earnings reporting requirement by allowing firms to choose their own quarterly disclosure policy. From a public policy perspective, a lack of significant information spillover on EADs would call into question the regulatory mandate to report. In the absence of externalities, firms should arguably be allowed to choose their own optimal disclosure policy, being one that balances the firm's marginal benefits with their marginal costs of disclosure. In the case where significant information externalities are associated with quarterly announcements, however, these disclosures may be considered a semi-public good, potentially justifying some form of regulation to arrive at a more socially optimal level of disclosure (i.e., one that would enhance the quality of financial markets). Our study contributes to the understanding of market-wide externalities and causal "real effects" associated with mandatory earnings disclosures by providing robust evidence of the existence of information externalities that is essential for the economic justification of reporting mandates (Leuz and Wysock, 2016).

2. Related Literature

The conceptual foundation for spillover effects lies in the premise that one firm’s earnings announcement conveys information about shared economic fundamentals that investors extrapolate to other firms. Early empirical studies document robust evidence of intra-industry information transfers. Foster (1981) and Clinch and Sinclair (1987) find that the stock returns of non-announcing firms move in tandem with those of announcing firms within the same industry. Baginski (1987) provides complementary evidence using management forecasts, showing that voluntary disclosures transmit industry-level signals that investors use to infer peer performance.

Subsequent research identifies factors that amplify or attenuate these spillover effects. Brochet, Kolev, and Lerman (2018) document that shared analyst coverage, coverage by analysts issuing industry recommendations, overlapping institutional ownership, and joint media mentions are associated with stronger information spillovers around earnings announcements. Kraft, Vasvari, and Wittenberg-Moerman (2011) provide evidence of information transfers in credit markets: firms’ earnings announcements influence the credit spreads of non-announcing peers, particularly when disclosures reveal industry-wide news and when peers are financially constrained by syndicated loans or covenant restrictions. These findings suggest that earnings disclosures also transmit industry information affecting debt pricing.

The timing of announcements also shapes the extent of spillovers. Thomas and Zhang (2007) show that late announcers' stock price reactions to early announcers' earnings news are negatively related to their subsequent reactions to their own reports. Using more recent data, Chung, Hrazdil, and Trottier (2015) find that this overreaction has weakened over time, consistent with improvements in market efficiency and evolving market microstructure. Das, King, and Pandit (2025) find that delayed earnings announcements, provided they remain among the first in an industry, attenuate information transfer to peer firms by 24%, an effect driven by information leakage and reduced industry relevance rather than investor inattention or poor earnings quality.

Recent work also investigates how reporting frequency affects spillovers. Arif and George (2020) show that firms reporting semiannually exhibit stronger stock price reactions to peers' earnings announcements, followed by reversals when their own results are released, consistent with temporary overreactions in low-disclosure environments. Stoumbos (2023) documents that information asymmetry widens steadily between earnings announcements – reflected in a 3.1% increase in bid-ask spreads – and that switching from semiannual to quarterly reporting mitigates this buildup, reducing spreads by about 1.6% on average. Analyzing both historical U.S. data and the 2007 EU Transparency Directive, Hillegeist, Kausar, Kraft, and Park (2026) find that increased mandatory reporting frequency improves corporate investment efficiency by enhancing the informational quality of stock prices, which allows managers to better "learn" from market signals.

Other studies identify spillover channels beyond industry peers. Pandit et al. (2011) document information externalities along supply chains: suppliers' stock prices react to their customers' earnings announcements, particularly when economic ties are strong (e.g., when the customer constitutes a large share of the supplier's sales). Ogneva et al. (2021) show that S&P 500 firms' earnings announcements generate market-wide reactions comparable in magnitude to major macroeconomic news releases, underscoring the role of index-level spillovers. These findings indicate that quarterly earnings announcements generate broader information externalities that are relevant beyond product-market competitors.

Collectively, the literature provides extensive evidence that earnings-related announcements generate economically significant spillovers to peer firms, with their magnitude shaped by economic linkages, disclosure environments, and institutional factors. These results underscore that spillovers are a fundamental feature of how markets process information, while reinforcing the central role of earnings announcements in information transmission.

A recent reassessment by Frankel et al. (2025) challenges this conventional view. They find that both the signed and absolute return correlations between focal and peer firms are significantly weaker on earnings announcement dates than on non-announcement days. Their analytical framework attributes this pattern to variations in the relative proportions of firm-specific versus industry relevant information contained in earnings announcements, casting "doubt about the extent of the information externality attributable to financial report releases" (pp. 319-320).

Taken together, the findings in Frankel et al. (2025) and the broader spillover literature seem to offer conflicting perspectives on the information spillovers associated with earnings announcements. Our analysis reconciles these views by providing a unified framework through which to assess earnings disclosure spillover effects. We separately examine the simultaneous increase in information production by focal firms on EADs and the changes in the stock return correlations with peer firms. While EADs are characterized by greater firm-specific information, and therefore a reduction in the fraction of news that is relevant to peer firms, we conjecture that the overall rise in total information production (Beaver et al., 2018, 2020) may still result in net information transfer to peers. Our results are consistent with this and thereby reconcile the extensive prior spillover evidence with more recent findings of declining correlations on EADs.

3. Data and Sample

3.1 SAMPLE CONSTRUCTION

We start with all firms in Compustat that have non-missing four-digit SIC industry classifications between 1999 and 2024. We further require that, at the time of announcement, firms have (i) a closing stock price above $1 and (ii) a market capitalization exceeding $5 million. Using data filters similar to that of Frankel et al. (2025), we require that each firm has at least one quarterly earnings announcement per year. We retain announcements for which Compustat and I/B/E/S earnings announcement dates differ by no more than five calendar days, assigning the earlier of the two dates as the *earnings announcement date* (EAD). These restrictions yield 406,130 firm-quarter earnings announcements for 14,026 unique firms across 441 four-digit SIC industries.

Following Frankel et al. (2025), we define *focal firms* as the first firms within a four-digit SIC industry to announce quarterly earnings. This process produces 39,896 industry-quarters with one focal firm each. *Peer firms* are defined as other firms in the same industry that announce earnings at least 10 calendar days after the focal firm. We retain only industry-quarters with at least one peer, resulting in 29,307 industry-quarters and 2,676 unique focal firms across 405 industries. Matching each focal firm to each of its peers for each calendar quarter yields 288,001 industry-quarter-firm pairs.

Daily stock returns are obtained from CRSP. We restrict the sample to common shares (share codes 10 or 11) and require that daily return data be available for both the focal and peer firms. Fama-French factor returns are from Compustat. The final regression sample comprises 11,989,848 daily returns for 199,517 industry-quarter-firm pairs. The subsample restricted to earnings announcement days contains 199,517 daily returns. Appendix B describes the sample collection process in detail.

3.2 DESCRIPTIVE STATISTICS

Table 1 reports descriptive statistics for focal and peer firm returns. Panel A summarizes several stock return measures on focal firms' quarterly EADs. To be consistent with subsequent tables, we average the returns at the firm-year level before summarizing them for the sample.[2] On average, focal firms exhibit signed (absolute) raw returns of 0.4% (4.1%) on EADs, compared with 0.03% (2.4%) for peer firms.

Panel B summarizes variables measured on all trading days, including both announcement and non-announcement days. Consistent with Frankel et al. (2025), focal-firm EADs occur on only 1.6% of trading days. On all days, focal firms' signed (absolute) raw returns average 0.06% (1.8%), roughly two to six times smaller than those on EADs. Interestingly, peer firms exhibit higher absolute returns than focal firms, suggesting greater volatility. In addition, focal firms have mean total assets (market capitalization) of $15.2 billion ($12.5 billion), compared with $3.8 billion ($3.2 billion) for peers. This suggests that focal firms may be industry leaders. This size pattern

[2] Appendix C reports daily returns measured on the focal firms' quarterly EADs (Panel A) and across all trading days (Panel B).

aligns with prior evidence that larger firms tend to make earlier earnings announcements (Ramnath, 2002).

4. Is there information spillover on EADs?

4.1 REPLICATION OF PRIOR STUDIES

We first confirm the findings of prior studies on the spillover effects by examining how peer firms' stock returns respond to focal firms' announcements. Following Foster (1981) and Hann, Kim, and Zheng (2019), we estimate:

$$Return_{PEER} = a + b_1 \, Return_{FOCAL} \tag{1}$$

where $Return_{PEER}$ and $Return_{FOCAL}$ are the contemporaneous daily returns of peer and focal firms, respectively, measured on focal-firm EADs.

Panel A of Table 2 reports results for the idiosyncratic returns from one-factor, four-factor, and six-factor models.[3] Across all specifications, b_1 is positive and significant at the 1% level. These results confirm for our sample the positive net information spillovers from focal firms to peers on EADs documented in the extensive prior information transfer literature.

In Panel B of Table 2, we follow Frankel et al. (2025) to estimate the return correlations between peer firms and focal firms on all trading days. The test variable of interest is the interaction between alternative measures of idiosyncratic returns and an indicator for focal firm EADs. Consistent with the findings in Frankel et al. (2025), the coefficient on the interaction term is negative and significant at the 1% level for all specifications, confirming their result for our sample

[3] The results using raw returns and simple market adjusted returns are similar.

that there is a significant reduction in the proportion of industry-relevant information spillovers on focal EADs.

4.2 ECONOMETRIC MODEL OF INFORMATION SPILLOVER METRIC

In this section, we formally derive the net information spillover metric (Z) for the empirical framework used in subsequent sections. We model the information spillover from a focal firm to a peer firm as a function of the focal firm's total information production and the correlation between the two firms using the following regression equation:[4]

$$\text{AbsRet}_{PEER} = \alpha + b_1\left(\text{AbsRet}_{FOCAL}\right) + b_2\left(\text{AbsRet}_{FOCAL}\right) * EAD_{Focal} + b_3 EAD_{Focal} \qquad (2)$$

where AbsRet denotes absolute idiosyncratic returns of the focal or peer firms and EAD_{Focal} is a binary variable that takes the value of one on focal firm earnings announcement dates.

4.2.1. Baseline Relationship on Non-Earnings-Announcement Days

On non-announcement days (EAD_{FOCAl} = 0), the relationship between the absolute idiosyncratic returns of a peer firm and a focal firm is captured by the b_1 coefficient from Equation (2):

$$\text{AbsRet}_{PEER}^{Non-EAD} = \alpha + b_1(\text{AbsRet}_{FOCAL}^{Non-EAD}) \qquad (3)$$

In other words, b_1 represents the baseline rate of information transfer (co-movement) between the focal firm and its peer in the absence of an earnings announcement.

4.2.2. Earnings Announcement Days (EADs)

[4] This is the same regression model as in Section 3.2 of Frankel et al. (2025). We use absolute returns of the focal and peer firms as our main return measure because the spillover effect can be positive or negative. In a subsequent specification check in Table 9, we separate the sample according to whether focal firm EAD abnormal returns are positive or negative and find stronger spillover effects for the subsample with positive returns.

On an earnings announcement day ($EAD_{FOCAL} = 1$), two distinct structural shifts occur in the information environment:

- Shift A: Change in relative informational relevance (Y). The regression equation introduces the interaction term b_2. The effective slope on EADs becomes $(b_1 + b_2)$. Defining the correlation change $Y = b_2/b_1$, the effective slope can be rewritten as:

$$\text{Slope}_{EAD} = b_1 + b_2 = b_1\left(1 + \frac{b_2}{b_1}\right) = b_1\,(1 + Y) \quad (4)$$

- Shift B: Increase in information production (X). Prior studies have measured the information content of earnings announcements with idiosyncratic stock returns on the announcement dates.[5] Accordingly, we define X as the percentage increase in focal firm absolute idiosyncratic returns on EADs relative to non-EADs:

$$\text{AbsRet}_{FOCAL}^{EAD} = \text{AbsRet}_{FOCAL}^{Non-EAD}(1 + X) \quad (5)$$

4.2.3. Net Information Spillover (Z)

To quantify the total spillover effect, we substitute the adjusted slope (Shift A) and the increased information production (Shift B) into the spillover equation for EADs. Using Equation (2), we have

$$\text{AbsRet}_{PEER}^{EAD} = \alpha + b_3 + \text{Slope}_{EAD} \times \text{AbsRet}_{FOCAL}^{EAD} \quad (6)$$

[5] See, for example, Foster, 1981; Clinch and Sinclair, 1987; Han, Wild, and Ramesh, 1988; Han and Wild 1990.

While α is the baseline peer absolute return unrelated to spillover, as in equation (3), b_3 represents any shift in the peer firm's average absolute idiosyncratic returns on focal EADs that is unrelated to the focal firm spillover. Substituting the terms from equations (4) and (5):

$$\text{AbsRet}_{PEER}^{EAD} - \alpha - b_3 = [b_1(1+Y)] \times [\text{AbsRet}_{FOCAL}^{Non-EAD}(1+X)] \quad (7)$$

Rearranging the terms allows us to compare the EAD spillover against the expected baseline spillover ($b_1 \times \text{AbsRet}_{FOCAL}^{Non-EAD}$):

$$\text{AbsRet}_{PEER}^{EAD} - \alpha - b_3 = \underbrace{(b_1 \times \text{AbsRet}_{FOCAL}^{Non-EAD})}_{\text{Baseline Spillover}} \times \underbrace{[(1+X)(1+Y)]}_{\text{Total Multiplier}} \quad (8)$$

The left-hand-side of equation (8) represents the net focal firm induced spillover on peer firms on EAD, net of both the baseline peer returns (α) and any shocks on focal EAD unrelated to spillover (b_3). The term [(1+X)(1+Y)] therefore represents the total multiplier of the peer's excess focal-induced spillover on EADs relative to the baseline state spillover. The net information spillover (Z) is defined as the percentage increase in this multiplier on EADs:

$$Z = (1 + X)(1 + Y) - 1$$

Thus, Z captures the net percentage change in peer information arrival on focal firm EADs, accounting for the simultaneous effects of a change in correlation (Y) and an increase in total information production (X).

4.3 EMPIRICAL RECONCILIATION OF PRIOR STUDIES

To reconcile the findings of Frankel et al. (2025) and prior studies, we follow the model above to construct the following three measures: i) increase in focal firm information production on their EADs (X); ii) correlation change between focal and peer firms on EADs (Y); and iii) net information spillover from focal to peer firms on EADs (Z).

4.3.1. Focal Firm Information Production on EADs

A slight transformation of Equation (5) gives X, the increase in information production by focal firms on EADs, as

$$X = \frac{\text{AbsRet}_{FOCAL}^{EAD}}{\text{AbsRet}_{FOCAL}^{Non-EAD}} - 1 \tag{9}$$

where idiosyncratic returns are estimated from a number of alternative factor models to ensure robustness.[6] The increase in information production is heterogeneous across firms and time so we estimate this variable at the firm-year level.

Table 3, Panel A reports summary statistics for the average absolute idiosyncratic returns of focal firms estimated with alternative factor models on earnings announcement dates and on non-announcement dates. The statistics reveal that the extent of firm-specific information production is markedly higher on announcement dates. For example, based on the 1-factor market model, the average absolute idiosyncratic return on earnings announcement dates is 3.9%, which is about 2.6 times larger than the corresponding 1.5% on non-announcement dates. Taken together, the change in information production (X) is positive and significant. Under the 1-factor market model, information production increases by 193% for the average firm. Idiosyncratic returns estimated under the Fama-French 4-factor or 6-factor models yield similar results. Collectively, the shift in information production is both positive and statistically significant, with about 83% of focal firm-years exhibiting increased absolute idiosyncratic returns. Non-parametric Wilcoxon signed-rank tests further confirm the robustness of this effect. Our findings are consistent with

[6] We acknowledge that X and Y are ratio-based variables that may follow a Cauchy-like distribution characterized by high skewness and heavy tails. Given that such distributions can bias standard parametric tests, we interpret the t-statistics with caution and supplement our analysis with the non-parametric Wilcoxon signed-rank test to ensure the robustness of our inferences.

those of recent studies by Beaver et al. (2018, 2020), who document a significant increase in a firm's own price and volume responses to earnings announcements over time. Overall, these results suggest that earnings announcements are associated with a pronounced increase in idiosyncratic information production relative to other trading days. While the direction of this finding is not surprising, the magnitude is important to our efforts to answer the question as to whether any of the new information is relevant for industry peers.

4.3.2. Correlation Shift between Focal and Peer Firms on EADs

Frankel et al. (2025) document a significant reduction in return correlation between the focal and peer firms on focal firm EADs using a panel regression as in Equation (2). To account for potential time-series variation in these correlation shifts, we adopt their empirical framework and estimate the Equation (2) on an annual basis and use the derived coefficients to define:

$$\textit{Correlation change } Y = b_2 / b_1. \tag{10}$$

This variable represents the percentage change in correlation between focal and peer firm idiosyncratic returns on EADs relative to non-EADs. When b_2 is negative, Y represents a reduction in the correlation between the focal and peer firm returns on EADs relative to other days.

As with the variable X, the value of Y is also likely to have time-series and cross-sectional variation. That is, every focal-peer pair may have a different value of Y for every focal earnings announcement. Unfortunately, because there are at most four earnings announcement days per year, it is not possible to estimate Equation (2), which has 3 parameters, reliably at such a granular level.[7] The most granular level at which we can reliably estimate Y is yearly, which we adopt as

[7] When we estimate the regressions by firm-year, 44% of the regressions are unidentified.

our main specification while presenting several alternative specifications as sensitivity tests in Table 6.

Table 3, Panel B reports summary statistics for b_1, b_2 and Y, estimated using alternative factor models. Under the market model, for example, the average value of b_1 is 0.1332, whereas the average value of b_2 is –0.0684. Taken together, the average Y ($=b_2/b_1$) is –0.3851 and is statistically significant at the 1% level based upon both t-tests and non-parametric Wilcoxon signed-rank tests. The Fama-French 4-factor and 6-factor models also yield negative Y values. Collectively, these results corroborate Frankel et al. (2025)'s finding that the correlation between focal and peer firm returns declines on earnings announcement dates relative to non-announcement trading days - i.e., the fraction of industry-relevant information out of the total amount of information produced is significantly lower on EADs.

4.3.3. Net Information Spillover on EADs

As in the model, we define Z as follows to capture the aggregate effect of information spillover on EADs:

$$Z = (1+X) * (1+Y) - 1. \qquad (11)$$

The variable Z captures the overall change in information spillover on EADs from the combined effects of the increased information production by the focal firm and the reduced fraction of industry-relevant information on EADs.

Table 4 reports X, Y, and Z estimates for one-factor, four-factor, and six-factor models. Combining the previously reported positive X (indicating a substantial increase in overall information production on EADs) with the negative Y (representing the reduced focal-peer correlation on EADs) results in an average Z that is positive and significant in all specifications.

This positive Z indicates that the *net* industry-relevant information spillover is meaningfully higher on EADs (e.g., 70% higher on average under the market model) relative to non-EADs. The average values of Z estimated with the Fama-French 4-factor and 6-factor models are 97% and 99%, respectively. In all three specifications, both the mean and median values of Z are positive, with t-test and signed-rank tests statistically significant at the $p < 0.0001$ level. These results confirm that there are statistically and economically significant net information spillovers from focal to peer firms on EADs.

In summary, the combined results in Tables 3 and 4 confirm the findings from the prior literature that there is both a substantial increase in the total information produced by focal firms on their EADs (Beaver et al., 2020) and a reduction in the fraction of that information that is relevant to peer firms (Frankel et al., 2025), while showing that the *net* effect is a significant amount of information spillover to peer firms. Our results therefore serve to reconcile the seeming contradiction in these earlier studies while confirming the long-held result that earnings announcements are associated with information externalities (Foster, 1981; Clinch and Sinclair, 1987; Han et al., 1988; amongst others).

4.4 ROBUSTNESS TESTS

To ensure that our findings are not driven by the particular empirical specification that we employ, we perform a number of sensitivity tests to confirm the robustness of our findings. First, we use alternative industry classifications to define focal firms and peer firms. In our main specification, we follow Frankel et al. (2025) and use the four-digit SIC codes to define focal and peer firms. In Panel A of Table 5, we define peer and focal firms using the text-based industry classification (TNIC3) developed by Hoberg and Phillips (2010, 2016). In Panel B, we employ 6-digit NAICS industry classification, while in Panels C and D we use GIC and three-digit SIC codes, respectively, to define focal and peer firms. In all four panels, we document positive X, negative Y, and positive Z values with idiosyncratic returns estimated under one-factor, 4-factor, or 6-factor models, and the estimated values of the variables are generally of a similar magnitude across specifications. More importantly, both the mean and median values of Z are positive, with t-tests and signed-rank tests that are significant at the $p < 0.0001$ level in all specifications. The results in Table 5 show that our main findings are robust to alternative industry classifications.

Next, we report our results using alternative definitions for Y. In our main specification, we estimate Y from Equation (2) with annual regressions. In Panel A of Table 6, we employ the coefficient estimate of Y from Frankel et al. (2025, Table 4, Column 2). Panel B uses the coefficient estimate of one single Y derived from Equation (2) with a pooled regression. In Panel C, we average the annual coefficient estimates of Y from our main specification and use this single average value of Y. In all three panels, our main results remain robust, with positive X, negative Y, and positive Z values. Both the mean and median values of Z are positive with the t-tests and signed-rank tests statistically significant at the $p < 0.0001$ level in all specifications. Table 6 confirms that our main finding is robust to alternative specifications of Y, the change in correlation between focal and peer firms around focal EADs.

In Table 7, we repeat our analysis using a three-day window ([-1, +1]) centered on the focal EAD as the earnings announcement window. Under this specification, the designated earnings announcement windows constitute 4.98% of the total trading days for the average firm in the sample, compared to 1.62% when we use the one-day EAD as the event window. As expected, the value of X, the *average* daily information production in the earnings announcement window, is lower than the corresponding numbers in Table 4, since the earnings announcement window includes two non-EADs. For the same reason, the value of Y, the change in correlation between focal and peer firms during the earnings announcement window, is also less negative than the corresponding numbers in Table 4. However, both the mean and median values of Z remain positive, with the t-tests and Wilcoxon signed-rank tests remaining statistically significant at the $p < 0.0001$ level across specifications. We conclude that our main findings are robust to the adoption of a three-day earnings announcement window.

We recognize the potential for skewness to impact the inference of our primary tests. In this regard, we note that the mean and median values of X, Y, and Z are closer to each other in Table 7 than in Table 4, indicating that their distribution is less skewed when estimated using the longer window. The findings from Table 7 thus provide some assurance that our main findings are not driven by the skewness of the variables. To further address the effect of potential skewness of focal firm information production on EADs, we use the median absolute idiosyncratic return, rather than the average, in calculating X in Table 8. As shown, this results in even higher values of X and Z, confirming that our main findings are not driven by the skewed distribution of focal firm information production on EADs.

The additional tests in this section confirm that our results are robust to alternative definitions of peer industry membership, estimates of the correlation between focal and peer firms, and event windows, and that the results are unlikely to be driven by skewness in the data.

4.5 CROSS-SECTIONAL ANALYSIS

We next perform several cross-sectional analyses to examine whether our baseline estimates vary across distinct subsamples. First, we investigate whether information transfer differs according to the nature of the news released by focal firms on their EADs. Table 9 reports the results of estimating X, Y, and Z across two subsamples based on the sign of the focal firm's idiosyncratic returns on the earnings announcement date. Panel A presents results for the "good news" subsample (i.e., those with positive idiosyncratic returns), while Panel B presents results for the "bad news" subsample (i.e., those with negative idiosyncratic returns). This classification is performed independently for each of the three factor models employed, which leads to slightly different numbers of observations across the factor models.[8]

Comparing the two panels in Table 9, we note that there is a greater increase in information production (X) and a higher level of net information spillover (Z) on good news EADs. The evidence on the reduction in return correlation (Y) is somewhat mixed, with more reduction on bad news EADs using the 1-factor model but less reduction in correlation when estimated using the 4- or 6-factor models. Taken together, these findings suggest that there is some level of asymmetry in information production depending upon the sign of the news: good news appears to be associated with a higher degree of total information production and industry-relevant information, on average, whereas bad news appears to contain more focal-firm-specific information. This result is consistent with the findings from the information transfer literature that "bad news" is more idiosyncratic (i.e., firm-specific) while "good news" is more systemic (i.e., industry-relevant) (e.g., Baginski (1987)).

Next, we investigate the role of industry leadership in the information transfer process. We estimate X, Y, and Z across two subsamples partitioned by the focal firm's industry leadership status during the quarter. Following Frankel et al. (2025), we define a focal firm as an industry leader if its quarterly sales exceed 20% of the total aggregate sales within its industry. Table 10 reports the results for these subsamples. The findings indicate that when the focal firm is an industry leader, the increase in information production (X) on EADs is more pronounced and the

[8] The numbers of observations in the two panels in Table 9 do not add up to the corresponding numbers in Table 4 because, in a given year, a firm may appear in Panel A of Table 9 in some quarters but in Panel B in others, leading to higher observation counts. The same reasoning also applies to Tables 10 and 11.

reduction in return correlation (Y) is less substantial, which when taken together leads to a higher net information spillover (Z). These results highlight the critical role of market leadership in facilitating industry-wide information spillovers, and is consistent with the well-documented phenomenon that leaders have more representative production functions and broader market reach, making their earnings reports a "macro" signal for the entire sector (Foster, 1981; Hou, 2007; Hertzel et al.. 2008; Beaver et al., 2018).

Finally, we investigate whether the magnitude of the earnings surprise affects the intensity of the information spillover. In Table 11, we estimate X, Y, and Z across two subsamples partitioned by the magnitude of the focal firm's earnings surprise on the EAD. Following Frankel et al. (2025), we define the earnings surprise as the actual announced earnings minus the median analyst forecast, scaled by the share price at the beginning of the period. To ensure data integrity and avoid split-adjustment biases, we utilize unadjusted quarterly analyst forecasts on the same basis as the actual earnings to calculate the surprise. We categorize an observation as a "high earnings surprise" if the absolute value of the surprise exceeds the median for all Compustat firms within the same industry and quarter.

Table 11 documents the intuitive result that, when the focal firm reports a higher absolute earnings surprise, information production (X) increases. However, the change in return correlation (Y) becomes significantly more negative, ultimately leading to a lower but still significantly positive net average information spillover (Z).[9] The more pronounced decrease in Y suggests that

[9] We note that while approximately 51–52% of the observations for Z are negative in Panel A, the Wilcoxon signed-rank test remains positive and statistically significant. This suggests that while the directional impact of the spillover is nearly evenly split in terms of frequency, the positive realizations of Z are sufficiently larger in magnitude relative to the negative ones that they shift the overall distribution. This skewness implies that when information transfer occurs, its positive effect on net informativeness is economically meaningful, even if a slight majority of individual observations show a marginal reduction in net spillover.

large earnings surprises predominantly convey firm-specific information rather than industry-wide signals, a result that is broadly consistent with the findings of Frankel et al. (2025).

The results of these cross-sectional analyses indicate that information spillovers are not uniform, but rather that the information externalities associated with earnings announcements are dependent upon the source and content of the news. Good news announcements and those made by industry leaders are associated with greater information spillovers whereas bad news announcements and those containing earnings surprises of greater magnitudes tend to contain relatively more idiosyncratic information.

4.6 TRADING VOLUME

In our final set of analyses, we examine whether there is spillover in trading volume from focal firms to peer firms on focal firm EADs. Kim and Verrecchia (1994) provide a seminal theoretical model demonstrating that disclosure influences both price and trading volume by altering investors' uncertainty about firm value and common market factors. Empirical work (Beaver, 1968; Beaver et al., 2020) establishes that investor responses to new information are significantly reflected in trading volume surrounding announcement dates. If a systematic spillover effect exists, we expect to observe a positive correlation between the abnormal trading volume of peer firms and that of the focal firm during the focal firm's announcement window.

We present our analysis of trading volume spillovers in Tables 12 and 13. Table 12 adopts the methodology from Table 2 to examine the contemporaneous correlation between peer and focal firm trading activity on focal firm EADs. We scale the firm's total trading volume by its total number of shares outstanding. The abnormal trading volume is calculated as the ratio of a (peer) firm's trading volume on the focal firm's EAD to its average volume on days that are neither the focal firm's EADs nor its own EADs, minus one.

In Columns (1) and (2), we report OLS regression results where the sample includes only focal firm EADs. The dependent variable is the peer firm's trading volume (or abnormal trading volume). Our primary independent variable is the contemporaneous trading volume (or abnormal trading volume) of the focal firm. In Column (1), the coefficient on the focal firm's trading volume is positive and statistically significant at the 1% level, indicating a strong contemporaneous correlation between the trading activities of focal and peer firms during focal firm announcement windows. We observe consistent results in Column (2) when using abnormal trading volume as the dependent variable. The abnormal trading volume is net of the non-EAD trading activities and isolates the volume spillover on EADs. While the coefficient on the focal firm's abnormal trading volume is smaller in magnitude than in the raw volume specification, it remains statistically significant at the 1% level. These findings are consistent with the results of return correlations in Table 2, Panel A, providing robust evidence of information-driven volume spillovers.

Column (3) reports the results when the dependent variable is the peer firm's trading volume across all trading days. The test variables of interest are the contemporaneous trading volume of the focal firm and its interaction with an indicator for the focal firm's EAD. Consistent with the return correlation results in Table 2 (Panel B), Column (3) shows a positive and statistically significant coefficient on the focal firm's volume, but a negative and statistically significant coefficient on the interaction term (both at the 1% level). Our findings are thus consistent with those of Frankel et al. (2025), documenting that there is a reduction in the *fraction* of industry-relevant information on focal firms' earnings announcement days.

In Table 13, we apply our empirical framework (detailed in Section 4.2) using trading volume as the primary metric of information spillover. This table reports the estimated volume spillover to peer firms on focal-firm EADs, once again measuring net information spillover as:

$Z = (1+X) * (1+Y) - 1$

where X is the increase in information production on EADs at the focal firm-year level:

$$X = \frac{average\ of\ focal\ firm\ trading\ volume\ \ on\ EAD}{average\ of\ focal\ firm\ trading\ volume\ on\ non{-}EAD} - 1$$

To measure Y, we estimate equation (2) using trading volume:

$$Volume_{PEER} = \alpha + b_1(\text{Volume}_{FOCAL}) + b_2(\text{Volume}_{FOCAL}) * EAD_{Focal} + b_3 EAD_{Focal}$$

Y (the change in volume correlation on EADs) is then defined:

$Y = b2 / b1$

where b1 and b2 are coefficients from the above OLS regression estimated at the yearly level.

As reported in Table 13, the coefficient for X is positive and statistically significant, indicating a substantial increase in overall information production on EADs, as reflected in heightened trading activity. We also find that Y is negative, which is consistent with a reduction in the contemporaneous correlation between focal and peer firms on EADs. Notably, when these two components are combined, the average Z remains positive and significant, indicating that the *net* industry-relevant information spillover is meaningfully higher on EADs (e.g., 38% higher on average). Both the mean and median values of Z are positive, with t-tests and Wilcoxon signed-rank tests confirming statistical significance at the $p < 0.0001$ level. Collectively, the results in Table 13 demonstrate the robustness of our primary finding to alternative measures of market activity and support the conclusion that focal firm earnings announcements are associated with both a significant increase in total information production and a relative reduction in focal-peer correlation, netting to a significant overall increase in information spillover to peer firms.

5. Conclusion

A central issue in the ongoing policy debate about mandatory quarterly earnings disclosure concerns the existence and magnitude of informational spillovers from earnings announcements. If such spillovers are negligible, then firms might reasonably be allowed to set their own optimal disclosure policies, whereas the existence of information externalities may suggest that these disclosures are a semi-public good, potentially justifying some form of reporting mandate to enhance the overall informational quality of financial markets.

Our study reconciles seemingly contrasting perspectives in the extant literature by providing a general framework that allows us to confirm the existence of both absolute increases in information production as well as declining correlations between focal and peer firms. We provide robust results that these two countervailing forces net to an economically and statistically significant information spillover from focal to peer firms on earnings announcement days. Our framework should be useful to researchers investigating information spillovers in other contexts and our empirical results should be informative to current regulatory debates related to the abolishment of quarterly reporting requirements.

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TABLE 1

Summary Statistics

Variable	N	Mean	SD	25th	Median	75th
Panel A: Variables measured on EADs of focal firms						
Focal firms						
Signed return	11,261	0.00393	0.04132	-0.01902	0.00310	0.02647
Signed MktAdj return	11,261	0.00368	0.03728	-0.01768	0.00297	0.02522
Signed idiosyncratic return (1-factor)	11,261	0.00329	0.03604	-0.01721	0.00257	0.02378
Signed idiosyncratic return (4-factor)	11,261	0.00304	0.03395	-0.01646	0.00232	0.02303
Signed idiosyncratic return (6-factor)	11,261	0.00295	0.03305	-0.01614	0.00236	0.02259
Absolute return	11,261	0.04140	0.02656	0.01964	0.03738	0.05986
Absolute MktAdj return	11,261	0.03968	0.02503	0.01894	0.03595	0.05715
Absolute idiosyncratic return (1-factor)	11,261	0.03847	0.02452	0.01826	0.03472	0.05575
Absolute idiosyncratic return (4-factor)	11,261	0.03673	0.02330	0.01751	0.03336	0.05309
Absolute idiosyncratic return (6-factor)	11,261	0.03583	0.02264	0.01725	0.03266	0.05192
Peer firms						
Signed return	69,998	0.00033	0.02468	-0.01050	0.00000	0.01082
Signed MktAdj return	69,998	-0.00006	0.02279	-0.01015	-0.00011	0.00966
Signed idiosyncratic return (1-factor)	69,998	-0.00014	0.02194	-0.00967	-0.00032	0.00900
Signed idiosyncratic return (4-factor)	69,998	0.00021	0.02068	-0.00889	-0.00012	0.00877
Signed idiosyncratic return (6-factor)	69,998	0.00016	0.02026	-0.00882	-0.00011	0.00863
Absolute return	69,998	0.02379	0.01944	0.01044	0.01848	0.03155
Absolute MktAdj return	69,998	0.02237	0.01835	0.00970	0.01717	0.02949
Absolute idiosyncratic return (1-factor)	69,998	0.02144	0.01792	0.00906	0.01633	0.02838
Absolute idiosyncratic return (4-factor)	69,998	0.02032	0.01697	0.00864	0.01551	0.02677
Absolute idiosyncratic return (6-factor)	69,998	0.02005	0.01663	0.00857	0.01536	0.02647

TABLE 1 – *(Continued)*

Panel B: Variables measured across all trading days						
Focal firms						
Signed return	11,261	0.00066	0.00258	-0.00051	0.00069	0.00188
Signed MktAdj return	11,261	0.00028	0.00227	-0.00080	0.00024	0.00135
Signed idiosyncratic return (1-factor)	11,261	0.00000	0.00023	-0.00002	0.00000	0.00002
Signed idiosyncratic return (4-factor)	11,261	-0.00001	0.00024	-0.00002	0.00000	0.00001
Signed idiosyncratic return (6-factor)	11,261	-0.00001	0.00024	-0.00002	0.00000	0.00001
Absolute return	11,261	0.01832	0.00879	0.01191	0.01628	0.02255
Absolute MktAdj return	11,261	0.01634	0.00833	0.01015	0.01431	0.02053
Absolute idiosyncratic return (1-factor)	11,261	0.01562	0.00803	0.00970	0.01364	0.01954
Absolute idiosyncratic return (4-factor)	11,261	0.01475	0.00767	0.00913	0.01281	0.01844
Absolute idiosyncratic return (6-factor)	11,261	0.01453	0.00756	0.00898	0.01261	0.01816
Peer firms						
Signed return	69,998	0.00047	0.00342	-0.00078	0.00055	0.00186
Signed MktAdj return	69,998	0.00006	0.00316	-0.00112	0.00010	0.00136
Signed idiosyncratic return (1-factor)	69,998	-0.00001	0.00025	-0.00004	0.00000	0.00003
Signed idiosyncratic return (4-factor)	69,998	-0.00002	0.00026	-0.00005	0.00000	0.00002
Signed idiosyncratic return (6-factor)	69,998	-0.00002	0.00026	-0.00005	0.00000	0.00002
Absolute return	69,998	0.02346	0.01167	0.01448	0.02099	0.03033
Absolute MktAdj return	69,998	0.02198	0.01121	0.01325	0.01950	0.02868
Absolute idiosyncratic return (1-factor)	69,998	0.02109	0.01098	0.01254	0.01863	0.02777
Absolute idiosyncratic return (4-factor)	69,998	0.02014	0.01068	0.01181	0.01773	0.02661
Absolute idiosyncratic return (6-factor)	69,998	0.01989	0.01053	0.01168	0.01752	0.02630

This table provides summary statistics for firms that announced quarterly earnings during the 1999-2024 period. For each calendar quarter, we define *focal firms* as the first firms that announce their quarterly earnings among firms in the same four-digit SIC industry. For each focal firm, we identify industry peers (*peer firms*) as firms in the same industry that announce quarterly earnings at least 10 days after the focal firm. All return variables are averaged at firm/year level to be consistent with subsequent tables. Panel A reports statistics for annually averaged variables for focal- and peer-firms on quarterly earnings announcement days (EAD) of the focal firms; Panel B reports statistics for annually averaged variables for focal- and peer-firms across all trading days. All variables are defined in Appendix A.

TABLE 2

Peer- and focal-firm earnings correlation

Panel A: Peer reaction on focal-firm earnings announcement day (EAD)

	(1)	(2)	(3)	(4)	(5)	(6)
	Peer-Firm					
	Signed			Absolute		
Focal-Firm	Idio. return (1-factor)	Idio. return (4-factor)	Idio. return (6-factor)	Idio. return (1-factor)	Idio. return (4-factor)	Idio. return (6-factor)
Signed Idio. return (1-factor)	0.0706***					
	(6.37)					
Signed Idio. return (4-factor)		0.0602***				
		(5.91)				
Signed Idio. return (6-factor)			0.0590***			
			(6.32)			
Absolute Idio. return (1-factor)				0.0776***		
				(4.89)		
Absolute Idio. return (4-factor)					0.0818***	
					(6.49)	
Absolute Idio. return (6-factor)						0.0791***
						(5.73)
Constant	-0.0004**	-0.0002	-0.0002	0.0164***	0.0155***	0.0154***
	(-2.19)	(-0.92)	(-1.46)	(16.38)	(18.19)	(17.67)
Observations	199,517	199,517	199,517	199,517	199,517	199,517
Clustering	Industry-Quarter	Industry-Quarter	Industry-Quarter	Industry-Quarter	Industry-Quarter	Industry-Quarter
Adjusted R-squared	0.0070	0.0052	0.0049	0.0045	0.0049	0.0045

TABLE 2 – ***(Continued)***

Panel B: Peer- and focal-firm correlation on all days

	(1)	(2)	(3)	(4)	(5)	(6)
	Peer-Firm					
	Signed			Absolute		
Focal-Firm	Idio. return (1-factor)	Idio. return (4-factor)	Idio. return (6-factor)	Idio. return (1-factor)	Idio. return (4-factor)	Idio. return (6-factor)
Signed Idio. return (1-factor)	0.1339***					
	(9.84)					
Signed Idio. return (1-factor) x EAD	-0.0633***					
	(-6.55)					
Signed Idio. return (4-factor)		0.0819***				
		(7.20)				
Signed Idio. Return (4-factor) x EAD		-0.0217***				
		(-2.97)				
Signed Idio. return (6-factor)			0.0730***			
			(7.22)			
Signed Idio. return (6-factor) x EAD			-0.0140**			
			(-2.35)			
Absolute Idio. return (1-factor)				0.1921***		
				(14.03)		
Absolute Idio. return (1-factor) x EAD				-0.1145***		
				(-5.72)		
Absolute Idio. return (4-factor)					0.1808***	
					(13.01)	
Absolute Idio. return (4-factor) x EAD					-0.0990***	
					(-6.80)	
Absolute Idio. return (6-factor)						0.1771***
						(12.62)
Absolute Idio. return (6-factor) x EAD						-0.0980***
						(-6.45)
EAD	-0.0001	0.0002	0.0001	0.0008*	0.0005	0.0005
	(-0.58)	(0.90)	(0.78)	(1.91)	(1.63)	(1.57)
Constant	-0.0003***	-0.0003***	-0.0003***	0.0156***	0.0151***	0.0150***
	(-6.02)	(-7.82)	(-8.04)	(23.36)	(22.43)	(22.49)
Observations	11,989,848	11,989,848	11,989,848	11,989,848	11,989,848	11,989,848
Clustering	Industry-Quarter	Industry-Quarter	Industry-Quarter	Industry-Quarter	Industry-Quarter	Industry-Quarter
Adjusted R-squared	0.0099	0.0037	0.0029	0.0198	0.0172	0.0164

Panel A reports OLS regressions where the dependent variable is the return of peer firms on focal-firm earning announcement days. Panel B reports OLS regressions where the dependent variable is the return of peer firms across all trading days. The main independent variables are contemporaneous focal firm returns. All variables are defined in Appendix A. Standard errors are clustered at the industry by quarter level. The t-values are reported in parentheses. *, **, and *** denote statistical significance at the 10%, 5% and 1% level, respectively.

TABLE 3

Increase in information production and reduction in return correlation on EAD

Variable	N	Mean	Median	t-value	% positive	Signed Rank (p-value)
Panel A: Increase in information production on EAD						
Average focal firm's absolute idiosyncratic return on EAD						
1-factor model	11,261	0.0391	0.0350	(166.55)		
4-factor model	11,261	0.0374	0.0335	(166.87)		
6-factor model	11,261	0.0365	0.0329	(168.00)		
Average focal firm's absolute idiosyncratic return on non-EAD						
1-factor model	11,261	0.0151	0.0132	(219.24)		
4-factor model	11,261	0.0142	0.0124	(216.41)		
6-factor model	11,261	0.0140	0.0122	(216.15)		
Increase in information production on EADs (X)						
1-factor model	11,261	1.9350	1.5132	(103.57)	82.77%	(<.0001)
4-factor model	11,261	1.9984	1.5634	(104.01)	83.12%	(<.0001)
6-factor model	11,261	1.9640	1.5404	(103.86)	82.89%	(<.0001)
Panel B: Reduction in return correlation on EAD						
b1						
1-factor model	26	0.1332	0.1291	(12.37)		
4-factor model	26	0.1178	0.1095	(12.90)		
6-factor model	26	0.1129	0.1065	(12.76)		
b2						
1-factor model	26	-0.0684	-0.0631	(-4.37)		
4-factor model	26	-0.0474	-0.0472	(-3.62)		
6-factor model	26	-0.0447	-0.0457	(-3.45)		
Change in return correlation on EADs (Y)						
1-factor model	26	-0.3851	-0.5458	(-4.07)	19.23%	(<.0001)
4-factor model	26	-0.2920	-0.4250	(-2.95)	23.08%	(<.0001)
6-factor model	26	-0.2709	-0.4645	(-2.61)	23.08%	(<.0001)

Panel A reports the increase in information production on earnings announcement days (X) at the focal firm – year level. We measure X as follows:

Increase in information production on EADs at the focal firm-year level:

$$X = \frac{\text{average of focal firm absolute idiosyncratic return on EAD}}{\text{average of focal firm absolute idiosyncratic return on non-EAD}} - 1$$

Panel B reports the average change in return correlation on earnings announcement days (Y). We estimate equation (2):

$$AbsRet_{PEER} = \alpha + b_1(AbsRet_{FOCAL}) + b_2(AbsRet_{FOCAL}) * EAD_{Focal} + b_3 EAD_{Focal}$$

We measure Y (the *Change in return correlation on EADs)* as follows:

$Y = b_2 / b_1$ where b_1 and b_2 are coefficients from the above OLS regression at the yearly level.

TABLE 4
Idiosyncratic return spillover effect

Variable	N	Mean	Median	t-value	% positive	Signed Rank (p-value)
Increase in information production on EADs (X)						
1-factor model	11,261	1.9350	1.5132	(103.57)	82.77%	(<.0001)
4-factor model	11,261	1.9984	1.5634	(104.01)	83.12%	(<.0001)
6-factor model	11,261	1.9640	1.5404	(103.86)	82.89%	(<.0001)
Change in return correlation on EADs (Y)						
1-factor model	26	-0.3851	-0.5458	(-4.07)	19.23%	(0.0004)
4-factor model	26	-0.2920	-0.4250	(-2.95)	23.08%	(0.0054)
6-factor model	26	-0.2709	-0.4645	(-2.61)	23.08%	(0.0214)
Net information spillover (Z)						
1-factor model	11,261	0.6971	0.2023	(47.52)	56.42%	(<.0001)
4-factor model	11,261	0.9671	0.4216	(58.27)	60.91%	(<.0001)
6-factor model	11,261	0.9919	0.4812	(59.62)	63.37%	(<.0001)

This table reports the idiosyncratic spillover effect of focal-firm earnings announcements to peer firms, by focal firm-year. We measure *Net information spillover as:*

$Z = (1+X) * (1+Y) - 1$

Where X and Y are defined in Table 3

TABLE 5

Alternative Industry Definitions for Peer Firms and Focal Firms

Variable	N	Mean	Median	t-value	% positive	Signed Rank (p-value)
Panel A: Industry defined as TNIC3 (Hoberg and Phillips)						
Increase in information production on EADs (X)						
1-factor model	11,448	2.2364	1.5379	(96.21)	80.97%	(<.0001)
4-factor model	11,448	2.2726	1.6011	(97.11)	80.91%	(<.0001)
6-factor model	11,448	2.2193	1.5733	(97.25)	80.56%	(<.0001)
Change in return correlation on EADs (Y)						
1-factor model	25	-0.4475	-0.5305	(-4.98)	16.00%	(<.0001)
4-factor model	25	-0.4381	-0.4785	(-5.14)	20.00%	(<.0001)
6-factor model	25	-0.4230	-0.4929	(-4.86)	20.00%	(0.0002)
Net information spillover (Z)						
1-factor model	11,448	0.6896	0.1382	(40.68)	53.80%	(<.0001)
4-factor model	11,448	0.7258	0.2504	(44.02)	56.94%	(<.0001)
6-factor model	11,448	0.7334	0.2599	(44.68)	57.37%	(<.0001)
Panel B: Industry defined as NAICS						
Increase in information production on EADs (X)						
1-factor model	12,334	2.2854	1.6022	(101.61)	81.48%	(<.0001)
4-factor model	12,334	2.3349	1.6459	(102.60)	81.81%	(<.0001)
6-factor model	12,334	2.2895	1.6313	(103.03)	81.81%	(<.0001)
Change in return correlation on EADs (Y)						
1-factor model	26	-0.4759	-0.5413	(-6.38)	15.38%	(<.0001)
4-factor model	26	-0.4375	-0.4919	(-5.92)	11.54%	(<.0001)
6-factor model	26	-0.4190	-0.4471	(-5.07)	11.54%	(0.0002)
Net information spillover (Z)						
1-factor model	12,334	0.5738	0.1179	(44.63)	53.92%	(<.0001)
4-factor model	12,334	0.7235	0.2543	(53.84)	58.04%	(<.0001)
6-factor model	12,334	0.7437	0.2413	(53.95)	58.06%	(<.0001)

TABLE 5 – *(Continued)*

Variable	N	Mean	Median	t-value	% positive	Signed Rank (p-value)
Panel C: Industry defined as GICS						
Increase in information production on EADs (X)						
1-factor model	3,014	2.2366	1.5513	(50.25)	81.65%	(<.0001)
4-factor model	3,014	2.2958	1.6247	(50.72)	81.65%	(<.0001)
6-factor model	3,014	2.2601	1.6266	(50.92)	81.59%	(<.0001)
Change in return correlation on EADs (Y)						
1-factor model	26	-0.4972	-0.5364	(-5.15)	15.38%	(<.0001)
4-factor model	26	-0.4318	-0.4646	(-4.27)	19.23%	(0.0003)
6-factor model	26	-0.4159	-0.4151	(-3.59)	19.23%	(0.0011)
Net information spillover (Z)						
1-factor model	3,014	0.4524	0.0978	(14.81)	51.99%	(<.0001)
4-factor model	3,014	0.6413	0.2154	(19.69)	55.41%	(<.0001)
6-factor model	3,014	0.6417	0.1561	(18.93)	53.09%	(<.0001)
Panel D: Industry defined as 3-digit SIC						
Increase in information production on EADs (X)						
1-factor model	8,152	2.2954	1.6224	(83.79)	82.46%	(<.0001)
4-factor model	8,152	2.3545	1.6806	(84.27)	82.70%	(<.0001)
6-factor model	8,152	2.3062	1.6397	(84.48)	82.25%	(<.0001)
Change in return correlation on EADs (Y)						
1-factor model	26	-0.3666	-0.4946	(-3.73)	19.23%	(0.0005)
4-factor model	26	-0.3222	-0.4511	(-3.34)	23.08%	(0.0012)
6-factor model	26	-0.2965	-0.4274	(-2.68)	23.08%	(0.0011)
Net information spillover (Z)						
1-factor model	8,152	0.8789	0.3140	(44.25)	57.92%	(<.0001)
4-factor model	8,152	1.0792	0.5132	(50.02)	62.10%	(<.0001)
6-factor model	8,152	1.1038	0.5418	(50.44)	63.05%	(<.0001)

This table presents robustness tests for the results in Table 4 using alternative industry classifications. Panel A defines focal and peer firms using the TNIC3 classification (Hoberg and Phillips 2010, 2016). Panel B employs the NAICS classification, while Panel C and Panel D use GICS and three-digit SIC codes, respectively.

TABLE 6

Alternative estimation of Y

Variable	N	Mean	Median	t-value	% positive	Signed Rank (p-value)
Panel A: Y estimated from Frankel et al. (Y = -.3828)						
Net information spillover (Z)						
1-factor model	11,261	0.8115	0.5512	(70.37)	68.75%	(<.0001)
4-factor model	11,261	0.8506	0.5821	(71.73)	69.24%	(<.0001)
6-factor model	11,261	0.8294	0.5679	(71.06)	68.87%	(<.0001)
Panel B: Y estimated from Table 2, Panel B (1-factor model: -.5962; 4-factor model: -.5477; 6-factor model: -.5536)						
Net information spillover (Z)						
1-factor model	11,261	0.1851	0.0148	(24.54)	50.66%	(<.0001)
4-factor model	11,261	0.3562	0.1594	(40.98)	56.70%	(<.0001)
6-factor model	11,261	0.3231	0.1340	(38.28)	55.77%	(<.0001)
Panel C: Y is yearly average (Table 3, Panel B)						
Net information spillover (Z)						
1-factor model	11,261	0.8047	0.5454	(70.05)	68.64%	(<.0001)
4-factor model	11,261	1.1229	0.8149	(82.54)	73.71%	(<.0001)
6-factor model	11,261	1.1610	0.8522	(84.21)	74.60%	(<.0001)

This table presents robustness tests for the results in Table 4 using alternative assumptions for the estimation of Y. Panel A utilizes the coefficient estimate of Y from Frankel et al. (2025, Table 4, Column 2). Panel B uses the coefficient estimate of Y derived from our regressions in Table 2, Panel B. Panel C employs the average coefficient estimate of Y from our Table 3, Panel B.

TABLE 7

Alternative window for EAD

Variable	N	Mean	Median	t-value	% positive	Signed Rank (p-value)
Increase in information production on EADs (X)						
1-factor model	11,261	0.9038	0.7688	(112.02)	85.02%	(<.0001)
4-factor model	11,261	0.9338	0.7981	(113.09)	85.19%	(<.0001)
6-factor model	11,261	0.9156	0.7845	(112.91)	85.16%	(<.0001)
Change in return correlation on EADs (Y)						
1-factor model	26	-0.2615	-0.3505	(-5.00)	3.85%	(<.0001)
4-factor model	26	-0.2295	-0.2642	(-4.10)	23.08%	(0.0004)
6-factor model	26	-0.2157	-0.2071	(-4.00)	26.92%	(0.0006)
Net information spillover (Z)						
1-factor model	11,261	0.3777	0.2441	(58.19)	64.96%	(<.0001)
4-factor model	11,261	0.4527	0.3243	(65.29)	67.73%	(<.0001)
6-factor model	11,261	0.4656	0.3464	(68.89)	69.48%	(<.0001)

This table presents robustness tests for the main results in Table 4 using a three-day window ([-1, +1]) centered on focal EAD as the earnings announcement window.

TABLE 8
Use median absolute idiosyncratic returns to estimate X

Variable	N	Mean	Median	t-value	% positive	Signed Rank (p-value)
Increase in information production on EADs (X)						
1-factor model	11,261	2.7502	2.0933	(108.16)	85.21%	(<.0001)
4-factor model	11,261	2.7953	2.1209	(108.41)	85.42%	(<.0001)
6-factor model	11,261	2.7308	2.0773	(108.34)	85.13%	(<.0001)
Net information spillover (Z)						
1-factor model	11,261	1.1617	0.4847	(59.81)	62.88%	(<.0001)
4-factor model	11,261	1.4828	0.7084	(68.27)	66.35%	(<.0001)
6-factor model	11,261	1.5006	0.7958	(69.47)	68.40%	(<.0001)

This table presents robustness tests for the main results in Table 4, using the median absolute idiosyncratic return, rather than the average, to measure the increase in information production (X) on earnings announcement dates.

TABLE 9

Information Transfer by the Sign of the Focal Firm's Earnings News

Variable	N	Mean	Median	t-value	% positive	Signed Rank (p-value)
Panel A: Good News on Focal Firm EADs						
Increase in information production on EADs (X)						
1-factor model	8,061	2.1412	1.6735	(86.11)	81.49%	(<.0001)
4-factor model	8,038	2.2215	1.7132	(86.56)	82.16%	(<.0001)
6-factor model	8,045	2.1926	1.6918	(86.55)	81.59%	(<.0001)
Change in return correlation on EADs (Y)						
1-factor model	26	-0.3300	-0.4372	(-2.84)	23.08%	(0.0054)
4-factor model	26	-0.3305	-0.3386	(-2.91)	19.23%	(0.0094)
6-factor model	26	-0.3133	-0.3309	(-3.08)	23.08%	(0.0033)
Net information spillover (Z)						
1-factor model	8,061	0.9671	0.3964	(42.25)	59.50%	(<.0001)
4-factor model	8,038	1.0567	0.4098	(44.10)	58.98%	(<.0001)
6-factor model	8,045	1.1484	0.5702	(47.87)	57.45%	(<.0001)
Panel B: Bad News on Focal Firm EADs						
Increase in information production on EADs (X)						
1-factor model	7,576	1.8621	1.3234	(74.63)	78.13%	(<.0001)
4-factor model	7,582	1.9228	1.3483	(74.86)	78.30%	(<.0001)
6-factor model	7,585	1.8920	1.3152	(74.67)	78.00%	(<.0001)
Change in return correlation on EADs (Y)						
1-factor model	26	-0.4108	-0.5453	(-3.54)	19.23%	(0.0015)
4-factor model	26	-0.2269	-0.1388	(-1.77)	38.46%	(0.0967)
6-factor model	26	-0.1762	-0.1613	(-1.17)	50.00%	(0.2556)
Net information spillover (Z)						
1-factor model	7,576	0.5599	-0.2108	(24.78)	44.64%	(<.0001)
4-factor model	7,582	1.0134	0.0915	(38.93)	52.43%	(<.0001)
6-factor model	7,585	1.1209	0.2944	(41.13)	50.06%	(<.0001)

This analysis estimates X, Y, and Z across two subsamples based on the nature of the news released by focal firms on their earnings announcement dates (EADs). We categorize observations as “good news” if the focal firm’s idiosyncratic returns calculated using each respective factor model are positive on the EAD; otherwise, the observations are classified as “bad news.”

TABLE 10

The Role of Industry Leadership in Information Transfer

Variable	N	Mean	Median	t-value	% positive	Signed Rank (p-value)
Panel A: Industry leader						
Increase in information production on EADs (X)						
1-factor model	3,473	2.4249	2.0984	(69.35)	88.19%	(<.0001)
4-factor model	3,473	2.5059	2.1802	(69.70)	88.31%	(<.0001)
6-factor model	3,473	2.4754	2.1589	(69.83)	88.37%	(<.0001)
Change in return correlation on EADs (Y)						
1-factor model	26	-0.2669	-0.4512	(-1.73)	26.92%	(0.0144)
4-factor model	26	-0.2502	-0.3568	(-1.32)	23.08%	(0.0102)
6-factor model	26	-0.1780	-0.2263	(-0.88)	38.46%	(0.0467)
Net information spillover (Z)						
1-factor model	3,473	1.2438	0.6251	(33.68)	61.73%	(<.0001)
4-factor model	3,473	1.4068	0.6306	(34.53)	60.73%	(<.0001)
6-factor model	3,473	1.6023	1.0279	(37.40)	66.60%	(<.0001)
Panel B: Non-leader						
Increase in information production on EADs (X)						
1-factor model	8,102	1.7290	1.2670	(80.37)	80.05%	(<.0001)
4-factor model	8,102	1.7860	1.2960	(80.63)	80.47%	(<.0001)
6-factor model	8,102	1.7485	1.2837	(80.45)	80.10%	(<.0001)
Change in return correlation on EADs (Y)						
1-factor model	26	-0.3941	-0.5686	(-3.90)	19.23%	(0.0005)
4-factor model	26	-0.2950	-0.4568	(-2.77)	26.92%	(0.0102)
6-factor model	26	-0.2773	-0.4439	(-2.47)	26.92%	(0.0288)
Net information spillover (Z)						
1-factor model	8,102	0.6299	0.0775	(33.98)	52.72%	(<.0001)
4-factor model	8,102	0.8857	0.2893	(42.86)	58.11%	(<.0001)
6-factor model	8,102	0.9093	0.3479	(43.44)	59.90%	(<.0001)

This analysis estimates X, Y, and Z across two subsamples partitioned by the focal firm's industry leadership status during the quarter. We define a focal firm as an industry leader if its quarterly sales exceed 20% of the total aggregate sales within its industry.

TABLE 11

Information Transfer and the Magnitude of Earnings Surprise

Variable	N	Mean	Median	t-value	% positive	Signed Rank (p-value)
Panel A: High Absolute Earnings Surprise						
Increase in information production on EADs (X)						
1-factor model	5,607	2.1410	1.6314	(70.42)	80.06%	(<.0001)
4-factor model	5,607	2.2127	1.6785	(70.86)	80.35%	(<.0001)
6-factor model	5,607	2.1849	1.6602	(70.75)	80.22%	(<.0001)
Change in return correlation on EADs (Y)						
1-factor model	26	-0.5005	-0.5394	(-3.57)	26.92%	(0.0012)
4-factor model	26	-0.4133	-0.4778	(-2.77)	23.08%	(0.0102)
6-factor model	26	-0.3895	-0.4639	(-2.37)	26.92%	(0.0183)
Net information spillover (Z)						
1-factor model	5,607	0.4783	-0.1032	(17.36)	47.67%	(<.0001)
4-factor model	5,607	0.7176	-0.0354	(24.25)	49.33%	(<.0001)
6-factor model	5,607	0.7537	-0.0525	(25.08)	49.17%	(<.0001)
Panel B: Low Absolute Earnings Surprise						
Increase in information production on EADs (X)						
1-factor model	9,010	1.9299	1.4379	(87.07)	80.91%	(<.0001)
4-factor model	9,010	1.9986	1.4711	(87.56)	81.48%	(<.0001)
6-factor model	9,010	1.9680	1.4468	(87.45)	81.28%	(<.0001)
Change in return correlation on EADs (Y)						
1-factor model	26	-0.3223	-0.3781	(-3.28)	19.23%	(0.0036)
4-factor model	26	-0.2331	-0.2275	(-2.38)	26.92%	(0.0169)
6-factor model	26	-0.2042	-0.2250	(-2.03)	34.62%	(0.0499)
Net information spillover (Z)						
1-factor model	9,010	0.8991	0.2753	(46.08)	56.29%	(<.0001)
4-factor model	9,010	1.2010	0.5105	(55.63)	61.94%	(<.0001)
6-factor model	9,010	1.2679	0.6061	(56.72)	62.72%	(<.0001)

This analysis estimates X, Y, and Z across two subsamples partitioned by the magnitude of the focal firm's earnings surprise on the EAD. We define an observation as a "high earnings surprise" if the absolute earnings surprise exceeds the median value of all Compustat firms within the same industry and quarter. Following Frankel et al. (2025), we calculate earnings surprise as the actual announced earnings minus the median analyst forecast, scaled by the share price. To ensure consistency, we use unadjusted quarterly analyst forecasts on the same basis as the actual earnings before calculating the surprise.

TABLE 12

Peer- and Focal-firm Earnings Correlation: Trading Volume

	(1)	(2)	(3)
	Peer firm's volume	Peer firm's abnormal volume	Peer firm's volume
Focal firm's volume	0.0648***		0.2143***
	(4.66)		(6.84)
Focal firm's abnormal volume		0.0179***	
		(5.02)	
Focal firm's volume x EAD			-0.0995***
			(-9.57)
EAD			-0.2875*
			(-1.71)
Peer firm's total assets	0.5052***	0.2572***	0.4100**
	(2.71)	(5.29)	(2.40)
Constant	3.8565***	-2.1046***	4.0061***
	(3.57)	(-5.37)	(4.00)
Observations	198,948	190,453	11,956,705
Clustering	Industry-Quarter	Industry-Quarter	Industry-Quarter
Adjusted R-squared	0.0273	0.0070	0.0304

The sample in Models (1) and (2) includes all EADs of the focal firms, while the sample in Column (3) includes all trading days. The dependent variable is the peer firm's trading volume in Models (1) and (3) and the peer firm's abnormal trading volume in Column (2), respectively. OLS regressions are reported in all specifications. The primary independent variables are the contemporaneous trading volume (or abnormal trading volume) of the focal firm. We define these variables as follows:

- Trading Volume: Total trading volume scaled by the total number of shares outstanding.
- Abnormal Trading Volume: Calculated as the ratio of trading volume on the focal firm's EAD to its average volume on non-EADs, minus one:

$$\textit{Abnormal trading volume} = \frac{\text{Volume on EAD}}{\text{Volume on non-EAD}} - 1$$

To ensure the results capture pure spillover effects, we exclude the peer firm's trading volume on its own EADs from the denominator. All variables are defined in Appendix A. Standard errors are clustered at the industry by quarter level. The t-values are reported in parentheses. *, **, and *** denote statistical significance at the 10%, 5% and 1% level, respectively.

Table 13
Spillover Effect: Trading Volume

Variable	N	Mean	Median	t-value	% positive	Signed Rank (p-value)
Increase in information production on EADs (X)	11,261	1.5424	1.1248	(94.27)	87.87%	(<.0001)
Change in volume correlation on EADs (Y)	26	-0.4558	-0.4760	(-24.33)	0.00%	(<.0001)
Net information spillover (Z)	11,261	0.3756	0.1372	(41.19)	58.03%	(<.0001)

This table reports the spillover effect of focal-firm earnings announcements to peer firms, by focal firm-year, using trading volume. We measure *Net information spillover as:*

$Z = (1+X) * (1+Y) - 1$

Where X and Y are defined similar to those in Table 3.

We measure X as follows:

Increase in information production on EADs at the focal firm-year level:

$$X = \frac{\text{average of focal firm trading volume on EAD}}{\text{average of focal firm trading volume on non-EAD}} - 1$$

To measure Y, we estimate Column (3) of Table 12 by year as follows::

$$Volume_{PEER} = \alpha + b_1(Volume_{FOCAL}) + b_2(Volume_{FOCAL}) * EAD_{Focal} + b_3 EAD_{Focal}$$

Y (the *Change in volume correlation on EADs)* is then defined as: $Y = b_2 / b_1$ where b_1 and b_2 are coefficients from the above OLS regression at the yearly level.

APPENDIX A: VARIABLE DEFINITIONS

Variable	Definitions	Data Source
EAD	An indicator equal to one for earning announcement day at the focal firms and zero otherwise.	Compustat; IBES
Signed (absolute) value	Raw (absolute) value of returns	CRSP
Return	Daily stock return	CRSP
MktAdj return	Daily stock return minus value-weighted market return	CRSP
Idiosyncratic return (1-factor)	The residuals from the regression of daily stock returns for each firm on the market factor.	CRSP
Idiosyncratic return (4-factor)	The residuals from the regression of daily stock returns for each firm on the 4 factors (market, size, value, and momentum).	CRSP
Idiosyncratic return (6-factor)	The residual from the regression of daily stock returns for each firm on the 6 factors (market, size, value, momentum, investment, and profitability).	CRSP
Increase in information production by focal firm on EADs (X)	$X = \frac{\text{average of focal firm absolute idiosyncratic return on EAD}}{\text{average of focal firm absolute idiosyncratic return on non}-\text{EAD}} - 1$	CRSP; IBES; Compustat
Change in return correlation on EAD (Y)	$Y = b_2 / b_1$ where b_1 and b_2 are coefficients from the following OLS regression as in Equation (2) at the year level: $AbsRet_{PEER} = \alpha + b_1(AbsRet_{FOCAL}) + b_2(AbsRet_{FOCAL}) * EAD_{Focal} + b_3 EAD_{Focal}$ *(2)*	CRSP; IBES; Compustat
Net information spillover on EADs (Z)	$Z = (1+X) * (1+Y) - 1$	CRSP; IBES; Compustat
Good news (bad news)	An observation is categorized as as "good news" if the focal firm's idiosyncratic returns calculated using each respective factor model are positive on the EAD; otherwise, the observation is classified as "bad news."	CRSP; IBES;
Industry leader	A focal firm is defined as an industry leader if its quarterly sales exceed 20% of the total aggregate sales within its industry.	Compustat
Earning surprise	Calculated as the actual announced earnings minus the median analyst forecast, scaled by the share price. To ensure consistency, we use unadjusted quarterly analyst forecasts on the same basis as the actual earnings before calculating the surprise.	CRSP; IBES;
Trading volume	Total trading volume scaled by the total number of shares outstanding.	CRSP
Abnormal trading volume	Calculated as the ratio of trading volume on the focal firm's EAD to its a volume on non-EADs, minus one: $\textit{Abnormal trading volume} = \frac{\text{Volume on EAD}}{\text{Volume on non}-\text{EAD}} - 1$ To ensure the results capture pure spillover effects, we exclude the peer firm's t volume on its own EADs from the denominator.	

APPENDIX B: SAMPLE SELECTION

	Industries	Firms	Firm-Quarters
All Compustat firms with non-missing 4-digit SIC, a closing stock price above $1 and a market capitalization exceeding $5 million	445	20,227	619,022
Announcements for which Compustat and I/B/E/S earning announcements dates differ by no more than 5 calendar days, correcting for after hour announcements	441	14,026	406,130
Focal firms as the first firms within a four-digit SIC industry to announce earnings.	441	3,052	39,896
Focal firms with at least one peer firms as firms in the same industry that announce earnings at least 10 calendar days after the focal firm	405	2,676	29,307
Peers announcing at least 10 days away from focal-firm announcement	405	13,399	288,001
Focal-peer firm pair	405	59,374	288,001
Focal-peer firm pair with available CRSP daily returns	389	36,635	199,517

APPENDIX C: SUMMARY STATISTICS - DAILY RETURNS

This table provides summary statistics for firms that announced quarterly earnings during the 1999-2024 period. For each calendar quarter, we define *focal firms* as the first firms that announce their quarterly earnings among firms in the same four-digit SIC industry in a year. For each focal firm, we identify industry peers (*peer firms*) as firms in the same industry that announce quarterly earnings at least 10 days after the focal firm. Panel A reports statistics for variables measured at quarterly earnings announcements by focal firms; Panel B provides statistics for variables measured on all trading days, including days with and without earnings announcements. All variables are defined in Appendix A.

Variable	N	Mean	SD	25th	Median	75th
Panel A: Variables measured at quarterly earnings announcements by focal firms						
Focal firms						
Number of peers	24050	8.2959	22.2609	1.0000	3.0000	7.0000
Signed return	24050	0.0040	0.0514	-0.0299	0.0020	0.0373
Signed MktAdj return	24050	0.0037	0.0466	-0.0291	0.0021	0.0361
Signed idiosyncratic return (1-factor)	24050	0.0034	0.0461	-0.0291	0.0016	0.0355
Signed idiosyncratic return (4-factor)	24050	0.0033	0.0450	-0.0286	0.0015	0.0351
Signed idiosyncratic return (6-factor)	24050	0.0033	0.0446	-0.0285	0.0015	0.0350
Absolute return	24050	0.0413	0.0310	0.0143	0.0335	0.0678
Absolute MktAdj return	24050	0.0397	0.0293	0.0138	0.0329	0.0646
Absolute idiosyncratic return (1-factor)	24050	0.0378	0.0269	0.0136	0.0324	0.0642
Absolute idiosyncratic return (4-factor)	24050	0.0369	0.0261	0.0133	0.0320	0.0631
Absolute idiosyncratic return (6-factor)	24050	0.0367	0.0258	0.0132	0.0318	0.0629
Peer firms						
Signed return	199517	0.0005	0.0342	-0.0154	0.0000	0.0150
Signed MktAdj return	199517	0.0001	0.0314	-0.0145	-0.0006	0.0136
Signed idiosyncratic return (1-factor)	199517	0.0000	0.0310	-0.0142	-0.0007	0.0129
Signed idiosyncratic return (4-factor)	199517	0.0003	0.0298	-0.0134	-0.0005	0.0126
Signed idiosyncratic return (6-factor)	199517	0.0002	0.0296	-0.0134	-0.0005	0.0125
Absolute return	199517	0.0234	0.0249	0.0062	0.0152	0.0314
Absolute MktAdj return	199517	0.0219	0.0233	0.0060	0.0140	0.0288
Absolute idiosyncratic return (1-factor)	199517	0.0212	0.0226	0.0057	0.0136	0.0282
Absolute idiosyncratic return (4-factor)	199517	0.0204	0.0217	0.0055	0.0130	0.0271
Absolute idiosyncratic return (6-factor)	199517	0.0203	0.0215	0.0055	0.0130	0.0269

APPENDIX C – *(Continued)*

Variable	N	Mean	SD	25th	Median	75th
Panel A: Variables measured at quarterly earnings announcements by focal firms						
Focal firms						
EAD (1/0)	1,480,896	0.0162	0.1264	0.0000	0.0000	0.0000
Signed return	1,480,896	0.0006	0.0259	-0.0114	0.0000	0.0121
Signed MktAdj return	1,480,896	0.0003	0.0227	-0.0103	-0.0002	0.0101
Signed idiosyncratic return (1-factor)	1,480,896	0.0000	0.0223	-0.0102	-0.0004	0.0095
Signed idiosyncratic return (4-factor)	1,480,896	0.0000	0.0214	-0.0098	-0.0004	0.0091
Signed idiosyncratic return (6-factor)	1,480,896	0.0000	0.0213	-0.0097	-0.0004	0.0091
Absolute return	1,480,896	0.0178	0.0188	0.0050	0.0118	0.0236
Absolute MktAdj return	1,480,896	0.0158	0.0170	0.0045	0.0102	0.0205
Absolute idiosyncratic return (1-factor)	1,480,896	0.0153	0.0163	0.0043	0.0099	0.0199
Absolute idiosyncratic return (4-factor)	1,480,896	0.0147	0.0157	0.0042	0.0095	0.0191
Absolute idiosyncratic return (6-factor)	1,480,896	0.0146	0.0155	0.0041	0.0094	0.0190
Peer firms						
Signed return	11,989,848	0.0005	0.0342	-0.0152	0.0000	0.0147
Signed MktAdj return	11,989,848	0.0001	0.0313	-0.0144	-0.0007	0.0131
Signed idiosyncratic return (1-factor)	11,989,848	0.0000	0.0309	-0.0141	-0.0008	0.0125
Signed idiosyncratic return (4-factor)	11,989,848	0.0000	0.0299	-0.0135	-0.0007	0.0121
Signed idiosyncratic return (6-factor)	11,989,848	0.0000	0.0296	-0.0135	-0.0008	0.0120
Absolute return	11,989,848	0.0232	0.0250	0.0061	0.0149	0.0309
Absolute MktAdj return	11,989,848	0.0216	0.0233	0.0059	0.0138	0.0284
Absolute idiosyncratic return (1-factor)	11,989,848	0.0210	0.0226	0.0056	0.0133	0.0278
Absolute idiosyncratic return (4-factor)	11,989,848	0.0203	0.0219	0.0054	0.0128	0.0268
Absolute idiosyncratic return (6-factor)	11,989,848	0.0202	0.0217	0.0054	0.0127	0.0266